What is Strategy, and, (why is it Important?)

Topics

- What do we mean by strategy?
- Why do strategy?
- Identifying a company's strategy
- Competitive advantage
- Strategic approaches

What do you think we mean when we talk about Strategy?

- *Strategy is the pattern of **objectives**, purposes or **goals** and the major policies and **plans** for achieving these goals, stated in such a way as to define what **business** the company is in and the kind of company it is or is to be.*

(Kenneth Andrews, 1987)

- *Competitive strategy is about **being different**. It means deliberately choosing a different set of activities to **deliver a unique mix of values**.*

(Michael Porter, 1996)

A **strategy** is a deliberate plan of action designed to achieve long-term goals by aligning resources, capabilities, and activities to address challenges or opportunities. In simple terms, it's the overarching approach that guides *what you want to achieve* and *how you intend to get there*.

ChatGPT

- **Business**: A strategy is the plan a company uses to gain a competitive edge and achieve its long-term objectives.
- **Personal**: A strategy is a structured approach to reaching personal goals or overcoming challenges.
- **Military**: A strategy is the coordinated use of resources and maneuvers to secure victory in conflict.
- **Academic**: A strategy is a guiding framework that connects goals with the actions needed to achieve them.

“Strategy is the plan that connects your goals with the actions to achieve them.”

What do we mean by “strategy”?



What is our present situation?

- Business environment and industry conditions
- Firm’s financial and competitive capabilities



Where do we want to go from here?

- Creating a vision for the firm’s future direction



How are we going to get there?

- Crafting an *action plan* that will get us there



What is strategy about?

Strategy is all about ***How***:

- ***How*** to outcompete rivals.
- ***How*** to respond to economic and market conditions and growth opportunities.
- ***How*** to manage functional pieces of the business.
- ***How*** to improve the firm's financial and market performance.

Why do strategy?

- ***A firm does strategy:***
  - To improve its financial performance.
  - To strengthen its competitive position.
  - To gain a sustainable competitive advantage over its market rivals.
- ***A creative, distinctive strategy:***
  - Can yield above-average profits.
  - Makes competition difficult for rivals.





Identifying a Company's Strategy

What to Look For

Identifying a Company's Strategy

What to Look For




What are the key elements of Starbucks' business strategy?

Key elements of Starbucks's strategy

Train baristas to serve a wide variety of specialty coffee drinks (**customized coffee**)

Emphasize store ambience and **customer experience**

Purchase and roast **quality** coffee beans

Expand the **number** of Starbucks **stores** domestically and internationally.

Broaden and periodically refresh **product offerings**.

Adapting to new market conditions (e.g. opening pickup-stores, drone delivery)

Expanding the number of Starbucks stores



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The Quest for Competitive Advantage

- Competitive Advantage
  - Meeting customer needs more effectively, with products or services that customers value more highly, or more efficiently, at lower cost.
- Sustainable Competitive Advantage
  - Giving buyers lasting reasons to prefer a firm’s products or services over those of its competitors.













What are the strategies used by these companies?

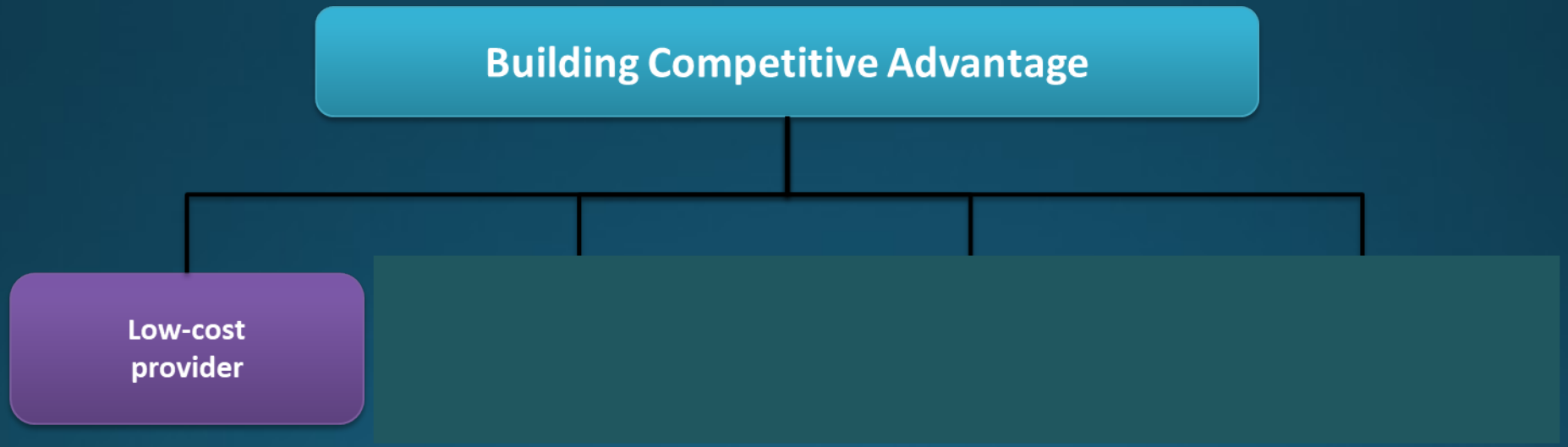
STRATEGIC APPROACHES

- Building a competitive advantage by:
  1. Striving to become the industry's low-cost provider (*efficiency*).
  2. Outcompeting rivals on differentiating features (*effectiveness*).
  3. Focusing on better serving a niche market's needs (*efficiency and\or effectiveness*).
  4. Offering the lowest (best) prices for differentiated goods (*best-cost provider*).

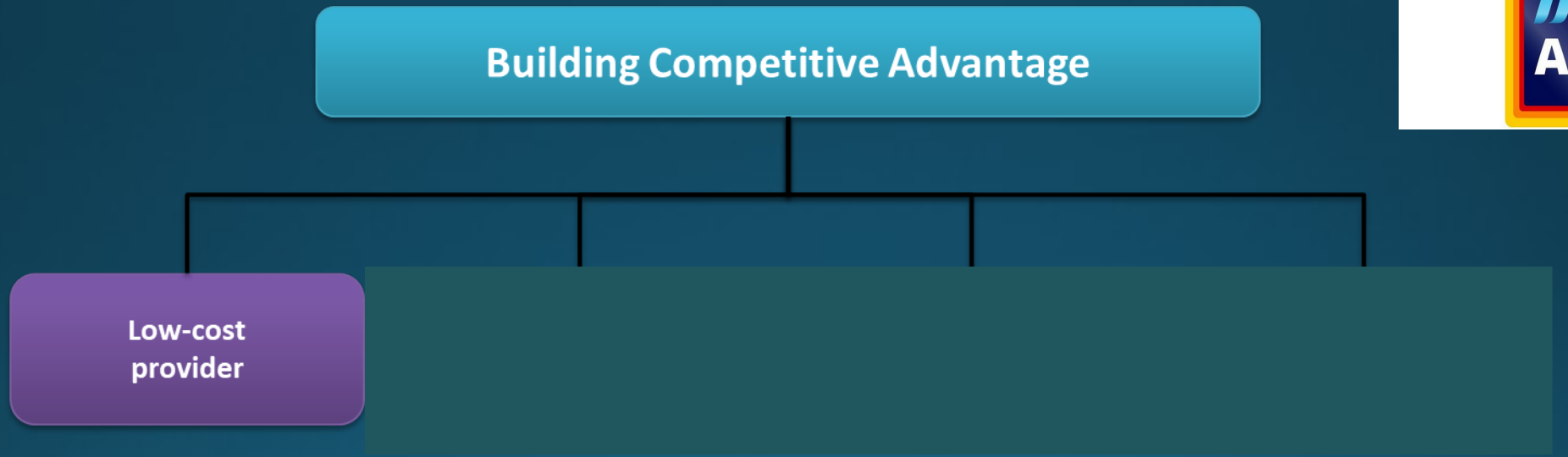
STRATEGIC APPROACH CHOICES



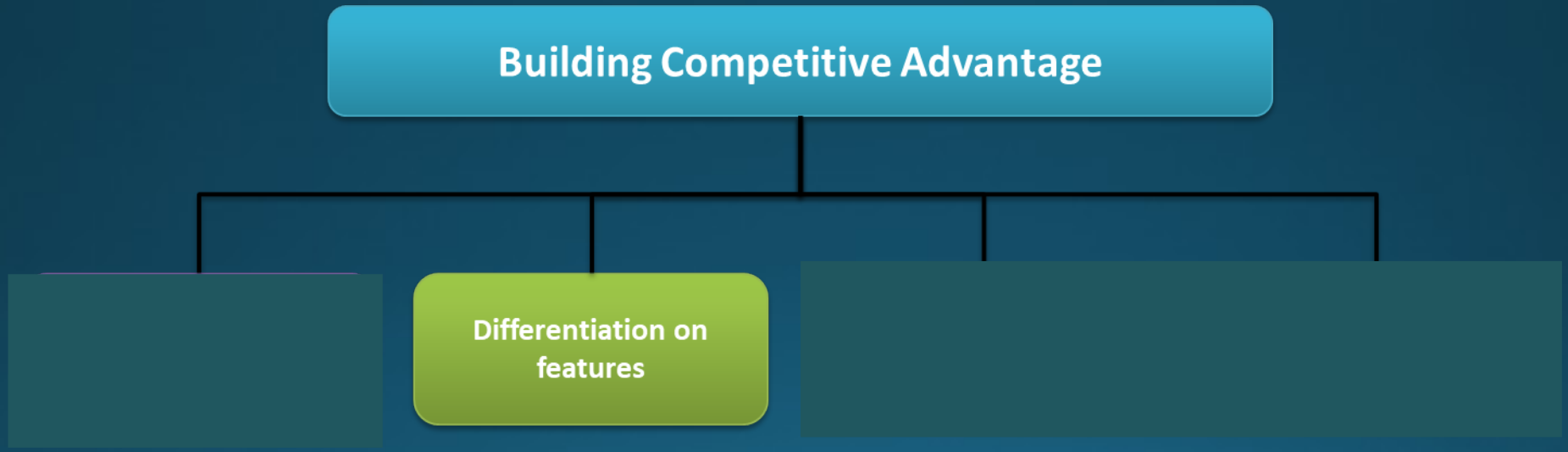
Low cost producer



Low cost producer



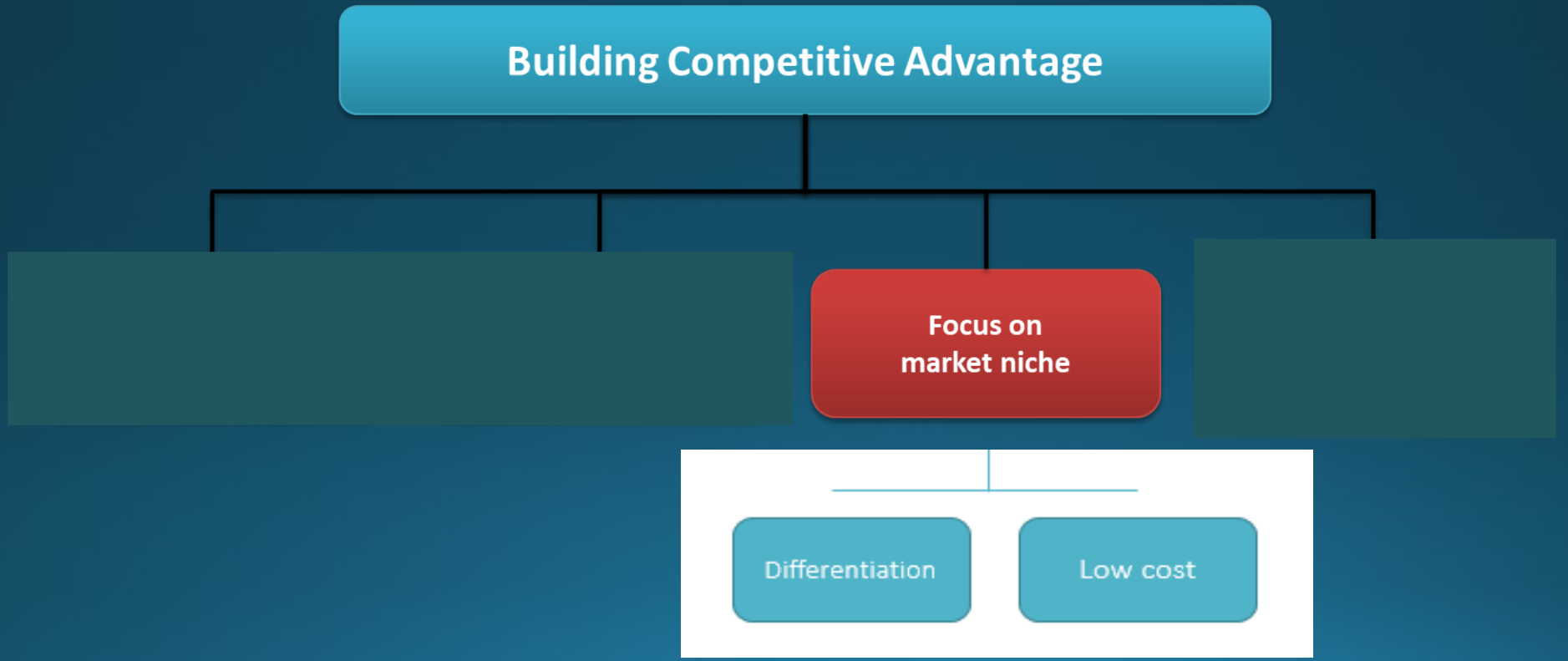
Differentiator



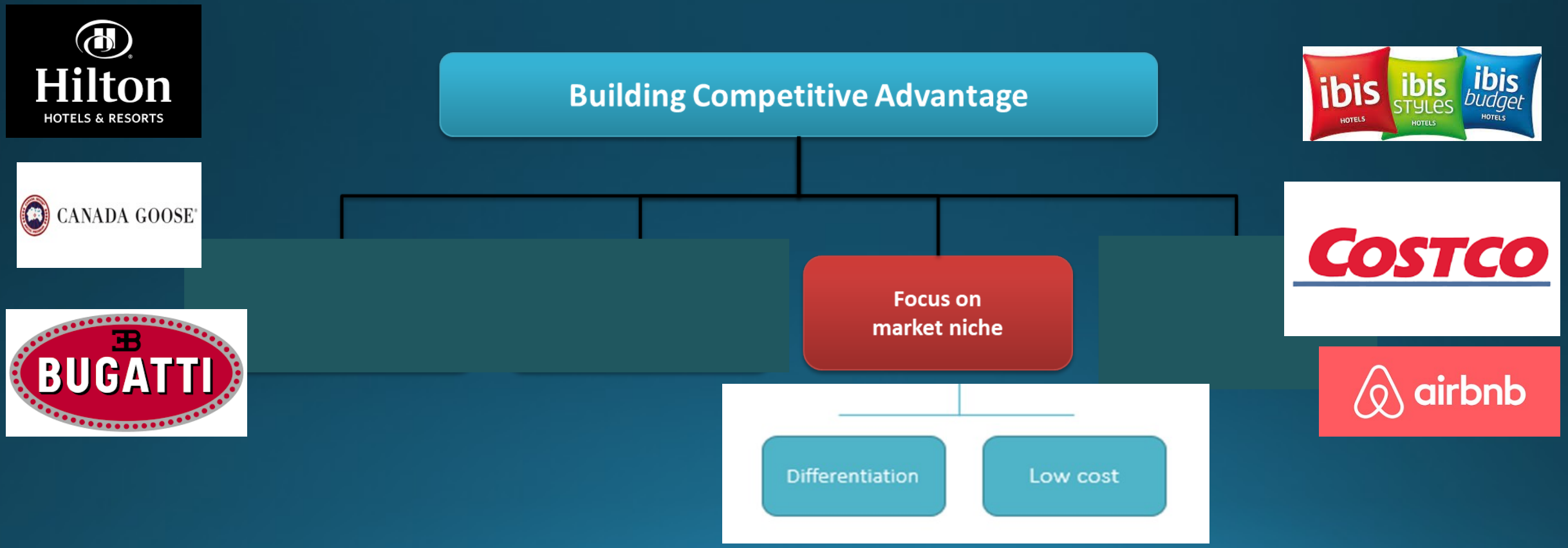
Differentiator



Focus Strategies



Focus Strategies

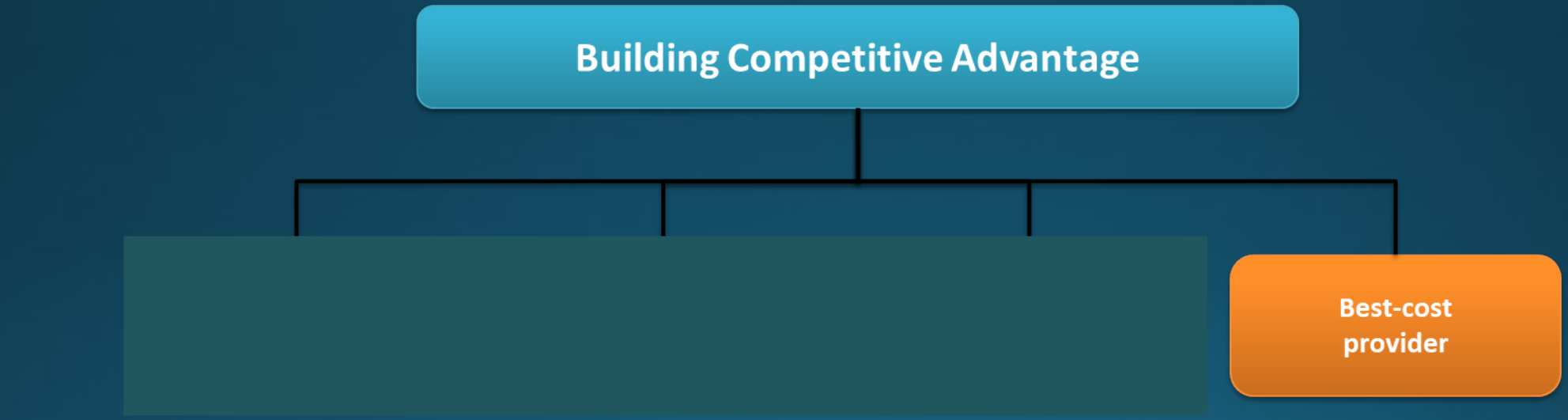


Best cost provider



Best cost provider



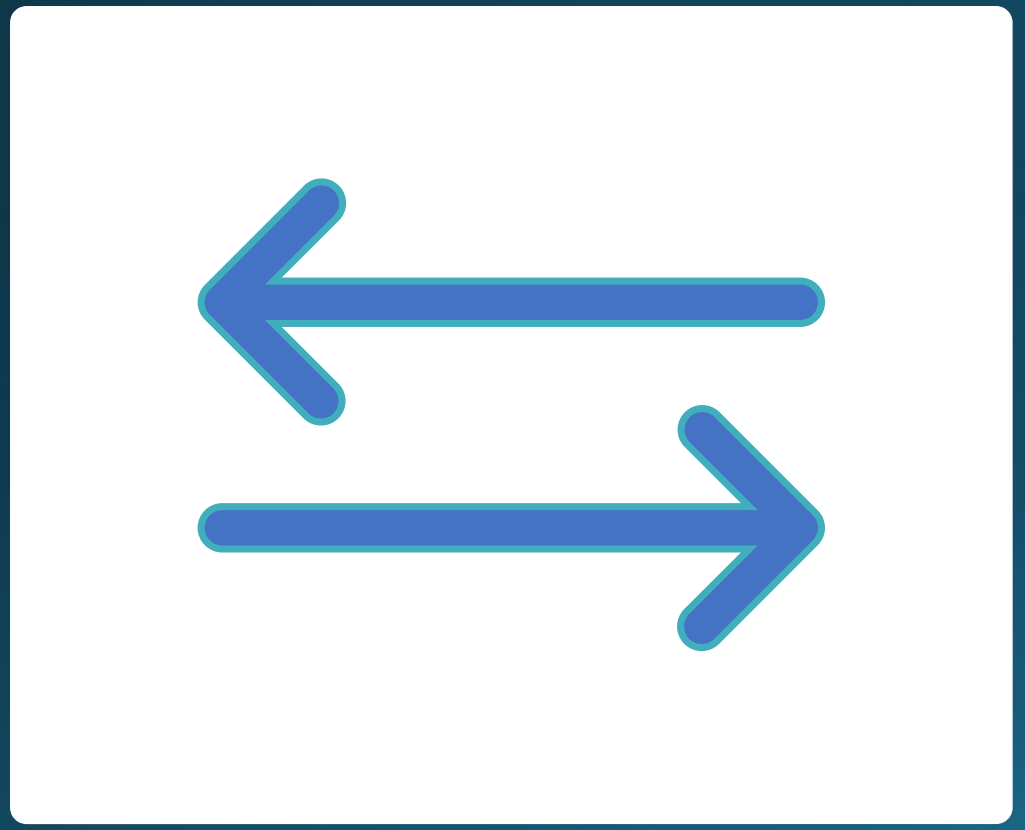




Should a firm’s strategy always be maintained?
Or should it change over time?

What are some of the factors that may cause a firm’s strategy to change over time?

Why a Firm's Strategy Evolves over Time



Managers modify strategy in response to:

- Changing **market conditions**
- Advancing **technology**
- Fresh moves of **competitors**
- Shifting **buyer** demands
- Emerging **market opportunities**
- New ideas for **improving** the strategy

The Evolving Nature of a Firm's Strategy

Current strategy is a blend of:

1. **Proactive** (*deliberate*) strategy elements that include both continued and new initiatives.
2. **Reactive** (*emergent*) strategy elements that are required due to unanticipated competitive developments and fresh market conditions.

THE RELATIONSHIP BETWEEN AN ORGANISATION'S STRATEGY AND ITS BUSINESS MODEL

Strategy

Competitive Initiatives

+

Business Approaches

Business Model:

How the business will make money?

By **providing** customers with **value** → **Value Proposition**

+

By **generating revenues** sufficient to:
- cover costs
- and produce attractive profits

→ **Profit Formula**

A proven business model—one that yields profitability— will demonstrate the viability of a firm's strat

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Business Model Elements:

The Profit Formula

The profit formula:

generating revenues sufficient to cover costs and produce attractive profits

C – the firm's costs

V – the value provided to customers

P – the price charged to customers

The lower the costs (C) for a given customer value proposition (V–P), the greater the ability of the business model to be a moneymaker.

What makes a strategy a winner?

A successful strategy must pass three tests:

